NATIONAL COMPANY LAW TRIBUNAL

GUWAHATI BENCH

CP (CAA) No. 01/GB/2020 in

CA (CAA) No. 06/GB/2019

Coram: Hon'ble Mr. HARI VENKATA SUBBA RAO, MEMBER (J)

Hon'ble Mr. PRASANTA KUMAR MOHANTY, MEMBER (T)

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF THE NATIONAL COMPANY LAW TRIBUNAL, GUWAHATI BENCH ON 9/12/2020

Name of the Company: **Shenglong Mobile Services Private Limited**

(Transferor Company/Petitioner Company No. 1)

&

Rongsheng Mobile India Private Limited

(Transferee Company/Petitioner Company No. 2)

Section: Section 230-232 of Companies Act

S.NO	NAME (CAPITAL LETTERS)	DESIGNATION	REPRESENTATION	SIGNATURE
1.				
2.				

ORDER

The Applicant is represented through respective Learned Counsel (s).

The case is fixed for pronouncement of order.

The Order is pronounced in the open court, through video conferencing vide separate sheet.

-Sd-

(PRASANTA KUMAR MOHANTY)

MEMBER (T)

-Sd-

(HARI VENKATA SUBBA RAO)

MEMBER (J)

NATIONAL COMPANY LAW TRIBUNAL

GUWAHATI BENCH

GUWAHATI

CP (CAA) No. 01/GB/2020 in

CA (CAA) No. 06/GB/2019

In the matter of:

Shenglong Mobile Services Private Limited

A Company incorporated under

the provisions of the Companies Act,1956

and having its registered office at

S.C. Goswami Road, Pan Bazar

Guwahati- 781003, Assam

(Transferor Company/Petitioner Company No. 1)

Rongsheng Mobile India Private Limited

A Company incorporated under the

provisions of the Companies Act, 2013 and

having its registered office at 7th Floor, Dee Tee Towers

Down Town Hospital Complex, GS Road, Dispur

Guwahati- 781006, Assam

(Transferee Company/Petitioner Company No. 2)

Order delivered on **9/12/2020**

Coram: Hon'ble Mr. HARI VENKATA SUBBA RAO, MEMBER (J)

Hon'ble Mr. PRASANTA KUMAR MOHANTY, MEMBER (T)

COMMON ORDER

[Per: Mr. Prasanta Kumar Mohanty, Member (T)]

1. The Petitioner Companies have preferred the present joint application under Sections 230-232 of the Companies Act, 2013 seeking sanction of this Tribunal to a Composite Scheme of Amalgamation of Shenglong Mobile Services Pvt. Ltd with Rongsheng Mobile India Private Limited and their respective Shareholders and Creditors ["Scheme" for short] with effect from the Appointed Date as mentioned in the Scheme.
2. The Rational of the proposed company Scheme is stated as under:

   i. Both the Companies are dealing in **Vivo branded mobile phones** and accessories/spare parts, one being engaged in trading and the other in service of the same.

   ii. The focus and activities of both the Transferor Company and the Transferee Company complement each other and as such, the consolidation of their efforts and resources would lead to a simplified corporate structure, greater integration, financial strength and flexibility aiding in achieving economies of scale, sourcing benefits, vendor rationalization, more focused operational efforts, standardization and simplification of business processes and productivity improvements. Further, the amalgamation will result in creation of a single 'go-to-market' strategy, benefit of scale, enhanced depth and breadth of capabilities to result in increased business opportunities and reduced expenses. The combined company shall be better positioned to serve the domestic market.

   iii. In general the aforesaid business will be carried on more profitably after the implementation of the scheme and the scheme will contribute in furthering and fulfilling the objects of the Companies concerned.

   iv. The scheme will have beneficial results for the said Companies, their Shareholders and all concerned.

3. The Petitioner Company No. 1 and No. 2 viz., Shenglong Mobile Services Pvt. Ltd and Rongsheng Mobile India Private Limited, in earlier Company Application i.e. CA (CAA) No. 06/GB/2019 filed before this Tribunal, sought dispensation of meeting of its Equity Shareholders.

4. This court vide its order dated 22nd November, 2019, passed in CA (CAA) No. 06/GB/2019 and has dispensed with the meetings of Equity shareholders of the Petitioner Transferor Company and the Petitioner Transferee Company. This Tribunal also directed publication of notice of the meetings in North East Times, an English Newspaper and Amar Asom, an Assamese Newspaper. The said order further directed that Ms. Shristi Todi, Advocate should act as the chairperson and Mr. Ankit Jain, Chartered Accountant should act as the scrutinizer of the said meeting of the Transferee and Transferor Company. The Chairman should report the results thereof to the Tribunal. This Tribunal also directed the petitioners for issuance of notices to the Regional Director, the Registrar of Companies, concerned Income-tax authority that the representations, if any, to be made by them, be made within a period of 30 days from the date of receipt of such notice.

5. Notice of the meeting was sent individually to the Equity Shareholders of both the companies respectively as required by the order together with a copy of the compromise or arrangement and of the statement required by section 231,232 read with section 230 of the Act and a form of proxy. The notice of the meeting of the Transferor Company, **Shenglong Mobile Services Private Limited** and the Transferee Company, **Rongsheng Mobile India Private Limited** was advertised as directed by the said order in North East Times, an English Newspaper and Amar Asom, an Assamese Newspaper on 3rd December, 2019.

6. It is further submitted that on the 21st day of December, 2019 a meeting of Equity Shareholders of the Transferor Company was duly convened in accordance with the said order and the said Ms. Shristi Todi and Ankit Jain, acted as the chairperson and scrutinizer of the meeting respectively. And on the 24th Day of December, 2019, a meeting of Equity Shareholders of the Transferee Company was duly convened in accordance with the said order and the said Ms. Shristi Todi and Mr. Ankit Jain, acted as the chairperson and scrutinizer of the meeting respectively.

7. The said meetings were properly conducted as per the directions of the Order and as per the provisions of the Companies Act. The said compromise or arrangement was read and explained by the respective chairpersons to the meetings and it was resolved unanimously as follows:-

"**RESOLVED THAT** pursuant to the provisions of Sections 230(3) and other applicable provisions, if any, of the Companies Act, 2013 (including any statutory modifications or re-enactment thereof for the time being in force), the provisions of the Memorandum and Articles of Association of the Company and subject to the approval of the Hon'ble National Company Law Tribunal, if and when applicable, and subject to such other approvals, permissions and sanctions of regulatory and other authorities, as may be necessary and subject to such conditions and modifications as may be prescribed or imposed by the Hon'ble National Company Law Tribunal, Guwahati Bench, if and when applicable or by any regulatory or other authorities, while granting such consents, approvals and permissions, which may be agreed to by the Board of Directors of the Company(hereinafter referred to as the "Board", which term shall be deemed to mean and include one or more Committees constituted/to be constituted by the Board or any other person authorized by it to exercise its powers including the powers conferred by this Resolution), the proposed amalgamation embodied in the scheme of amalgamation of Shenglong Mobile Services Private Limited and Rongsheng Mobile India Private Limited and their respective shareholders and creditors ("Scheme") placed before this meeting and initiated by the Chairman of the meeting for the purpose of identification, be and is hereby approved."

" **RESOLVED FURTHER THAT** the Board be and is hereby authorized to do all such acts, deeds, matters and things, as it may, in its absolute discretion deem requisite, desirable, appropriate or necessary to give effect to this resolution and effectively implement the amalgamation embodied in the Scheme and to accept such modifications, amendments, limitations and/or conditions, if any, which may be required and/or imposed by the Hon'ble national Company Law Tribunal, Guwahati Bench if and when applicable while sanctioning the amalgamation embodied in the Scheme or by any authorities under law, or as may be required for the purpose of resolving any doubts or difficulties that may arise in giving effect to the Scheme, as the Board may deem fit and proper."

8. Thereafter, the present Company Petition, (i.e. C.P (CAA) No. 01/GB/2020), has been filed for sanction of the proposed company Scheme. This Tribunal admitted the aforesaid Company Petition for hearing and further directed vide order dated 12/02/2020 for issuance of notice(s) of hearing of the present company scheme petition to the statutory and regulatory authorities of the Central Government, i.e. (i) Regional Director, North-Eastern Region; (ii) Registrar of Companies, Guwahati; (iii) Official Liquidator; and (iv) concerned Income-Tax Authorities, in case of the aforesaid Petition. This Tribunal further directed publication of notice of hearing of

the petition in English daily, "The North East Times", and in Assamese daily, "Amar Asom", in respect of the aforesaid company Petition.

9. In response to the notice, the Regional Director (RD), North-eastern Region, Ministry of Corporate Affairs, has filed representation dated 11th November, 2020, the Official Liquidator(OL) has filed his report dated 6th March, 2020 and the Income Tax Department has also filed its report dated 23rd November,2020. The RD, the OL and the Income Tax Departments have made their comments/observations in their representations. We have also gone through the same.

10. The RD's observation made in its representation/comments on the present Company Petition and rejoinder/reply received from the petitioner companies to such observations are described as under:

I, Bibekananda Mohanty, son of C.C.Mohanty aged about 56 years, working for gain as Regional Director, North Eastern Region, Ministry of Corporate Affairs, Guwahati having my office at 5th Floor, Prithvi Planet, Behind Hanuman Mandir, Ulubari, Guwahati-781007 do hereby solemnly affirm and state as follows:-

1. That I am the Regional Director, North Eastern Region, Ministry of Corporate Affairs, Guwahati and duly authorized to make this affidavit on behalf of the Central Government. I am well acquainted with the facts and circumstances of the instant case and competent to affirm this affidavit.
2. That the observations of the Central Government on the scheme are as under:
    a. That it is submitted that on examination of the report of the Registrar of Companies, Guwahati dated 04.03.2020 it appears that no prosecution for any violation of the companies Act, 1956/2013 have been filed by the ROC against the petitioner companies and its directors. Further, it is reported by the ROC that no complaint and/or representation has been received against the proposed scheme of Amalgamation. The petitioner companies have filed their statutory returns up to financial year 31.03.2019.
    b. That it is submitted that as per instructions of the Ministry of Corporate Affairs, New Delhi, a letter was forwarded to the Income Tax Department on 16.08.2019 with a request to forward their comments/observations/objections, if any, on the scheme of amalgamation between the transferor and transferee companies. The said authority has forwarded letter dated 14.01.2020 to this Directorate stating that they have no objection for the said scheme.

c. That it has been observed that in para no 3.3 of the Scheme the name of the transferor company is mentioned as " Shenglong Mobile India Private Limited", whereas the name of the transferor company in the title of the application is mentioned as "Shenglong Mobile Services Private Limited", which need to be clarified by the applicant.

d. That as per balance Sheet of the transferor company as at 31.03.2019, Long term borrowing is Rs.90.00 lacs (Ninety lacs) from the Transferee Company. Trade payables is Rs 4.50 crores (Four crores and fifty lacs) from Sundry Creditors. NOC from the transferee company has been given for an amount of Rs 6.52 crores (Six crores and fifty two lacs) as on 28.08.2019. The petitioner requires to clarify as to whether trade payable is due from the transferee company since no separate NOC has been given from the creditors under trade payable.

e. That as per the Balance Sheet of the Transferee company as at 31.03.2019, trade payable has been shown amounting to Rs 41.57 crores (Forty One crores and fifty seven lacs) for which NOC has been given by M/s VIVO Mobile India Private Limited for amount of Rs 41.53 crores (Forty One crores and Fifty three lacs) as on 26.08.2019. Further it is observed that as per above said balance sheet, the company is having other current liabilities including Rs 1.33 crores (One crore Thirty three lacs) and Rs 8.64 crores (Eight Crores and Sixty four lacs) as advance from customer and other current liabilities respectively. These are substantial amount shown in the balance sheet for which NOC does not appear to have been obtained by the applicant companies. This needs to be clarified by the applicant company.

f. In the Balance Sheet of Rongsheng Mobile India Pvt. Ltd, the transferee company, long term loans and advances given to transferor company is shown in notes to account as:-

Notes to Accounts

9. Long Term Loans and Advances

Particulars	31.03.2019
Other loans and advances - Shenglong Mobile Services Pvt. Ltd	1,11,74,150.00

Whereas in balance sheet as at 31.03.2019 of Shenglong Mobile Services Pvt. Ltd, the long term borrowings is shown in notes to account as :-

Notes to Accounts

4 - Long Term Borrowings

Particulars	31.03.2019
Other long term borrowings - Rongsheng Mobile India Pvt. Ltd	90,00,000.00

Which is contradictory with each other, which needs to be clarified by the applicant companies.

g. That it is observed that the transferor company has made no provision for payment of gratuity as defined under sub-section (1) of Section 4 of Payment of Gratuity Act, 1972, where it is stated that:

(1) Gratuity shall be payable to an employee on the termination of his employment after he has rendered continuous service for not less than five years,-

(a) On his superannuation, or
(b) On his retirement or resignation, or
(c) On his death or disablement due to accident or disease

Provided that the completion of continuous service of five years shall not be necessary where the termination of the employment of any employee is due to death or disablement

Provided further that in the case of death of the employee, gratuity payable to him shall be paid to his nominee or, if no nomination has been made, to his heirs, and where any such nominees or heirs is a minor, the share of such minor, shall be deposited with the controlling authority who shall invest the same for the benefit of such minor in such bank or other financial institution, as may be prescribed, until such minor attains majority.

Due to non-provisioning for gratuity the applicant company has apparently contravened provision of Section 129(1) read with AS-29.

h. That it is submitted that on examination of the proposed scheme of amalgamation, the Central Government has decided that the instant petition/scheme need not be opposed subject to observations made in preceding paragraphs.

3. The statement made in paragraph 2 is true to the best of my knowledge and those made in paragraph 2 is information derived from the records of the case. These are my humble submissions before this Hon'ble National Company Law Tribunal, Guwahati Bench for kind consideration and disposal of the case as deem fit and proper in the facts and circumstances of the case.

11. The Petitioner companies have filed their affidavit dated 13.03.2020 with explanations to the observations pointed out in the report of the Regional Director, NE Region to National Company Law Tribunal are as follows:

1. Regarding typographical error in the name of the Transferor Company:

The name of the Transferor Company is "Shenglong Mobile Services Private Limited". However in the para 3.3 of the Scheme of Amalgamation, the name of the transferor company is wrongly mentioned as "Shenglong Mobile India Private Limited" due to typographical error.

Regarding Balance of Trade Payables of the transferor Company:

The Trade Payables of the Transferor Company as on 31st March, 2019 was Rs. 4.50 crores. The entire amount is due to the Transferee Company, i.e. Rongsheng Mobile India Private Limited. The outstanding amount as on 28th August, 2019 due to the Transferee Company stood as amounting to Rs. 6.52 crores, for which separate NOC was given.

An affidavit from the Statutory Auditor of the Transferee Company certifying that the entire trade payables of Rs 4.50 crores as on 31st March, 2019 pertains to the amount due to the Transferee Company is enclosed herewith for reference.

2. Regarding Other Current Liabilities of Transferee Company:

i) Advance from Customers amounting to Rs 1.33 crores shown in the Balance Sheet of Transferee Company as on 31st March, 2019 is in the form of running balance and sales against the same were made immediately in the 1st week of the April, 2019. However, we have obtained NOCs from the customers and the same is attached hereunder.

ii) That the other current liabilities of Rs 8.64 crores shown in the balance Sheet of Transferee Company are all in the nature of expenses payables & provisions made, details of which are given hereunder:

PARTICULARS	**Amount (in Rs.)**
Audit Fees Payable	20,000.00
Provisions from Bonus	33,58,547.54
Provisions for Electricity Expenses	81,623.25
Provisions for EMI Cost	60,93,790.67
Provisions for Incentive	1,01,96,822.00
Provisions for Salary	5,27,400.00
Provisions for Scheme & Discount	3,59,35,247.00
Provisions for Telephone Bill & Internet Expenses	91,298.91
Salary & Incentive payable	2,25,23,721.90
Tour and Travels Expenses payable	5,126.00
Branding Expenses Payable	36,22,420.93
Courier Expenses payable	20,41,555.00
Rent Payable	11,76,659.00
Other Expenses payable	6,99,860.00
TOTAL	**8,63,74,072.20**

Since the above amounts are in the nature of Current Liabilities and Provisions, no NOC are required for the same.

3. Regarding Long Term Loan and Advances

The Long Term Loans and advances as mentioned in the Balance Sheet of Transferee Company as on 31.03.2019 is Rs. 1,11,74,150.00. This balance reflects the following amounts:

a. Loan amount- Rs. 90,00,000.00
b. Interest Accrued- Rs 21,74,150.00

The same has been shown in the Balance Sheet of Transferor Company as follows:

Loan-term borrowing- Rs. 90,00,000.00
Interest accrued Rs. 21,74,150.00, which has been included in the liability against expenses in the Balance Sheet of Transferor Company.

An affidavit from the Statutory Auditor of the transferee Company, clarifying the same is enclosed.

4. Gratuity of Transferor Company

Gratuity is payable to an employee on termination of his employment after he has rendered continuous services for not less than 5 years.

The Transferor Company was incorporated on 24th day of November, 2014. As on 31st March, 2019, the Company itself was in existence for less than 5 years. As such no provision for gratuity was required to make as no employee of the Company has completed five year of continuous service.

12. The Statutory Auditor has filed an affidavit dated 13/03/2020 stating the following:

1. That our firm was the Statutory Auditor of the Company for the financial year 2018-19 and we have audited the financial statement of the Company as on 31.03.2019.
2. That this affidavit is in relation to the Regional Director, NER's report on the Scheme of Amalgamation entered into by the Company with Rongsheng Mobile India Private Limited, transferee Company.
3. That the Balance Sheet of Shenglong Mobile Services Private Limited as on 31.03.2019 reflects a Trade Payable balance of Rs 4.50 Crores, which is entirely due to the transferee Company Rongsheng Mobile India Private Limited.
4. That the Company Shenglong Mobile Services Private Limited has obtained Long Term Borrowing of Rs 90.00 lakhs from Rongsheng Mobile India Private Limited. Interest Accrued on the same as on

31.03.2019 was Rs. 21,71,150 /-. This amount has been classified under current liabilities in the Balance Sheet dated 31.03.2019.

13. The RD's observation made in its representation/comments on the rejoinder/reply received from the petitioner companies to such observations vide affidavit dated 11/11/2020 are described as under:

I, Bibekananda Mohanty, son of C.C.Mohanty aged about 56 years, working for gain as Regional Director, North Eastern Region, Ministry of Corporate Affairs, Guwahati having my office at 5th Floor, Prithvi Planet, Behind Hanuman Mandir, Ulubari, Guwahati-781007 do hereby solemnly affirm and state as follows:-

1. That I am the Regional Director, North Eastern Region, Ministry of Corporate Affairs, Guwahati and duly authorized to make this affidavit on behalf of the Central Government. I am well acquainted with the facts and circumstances of the instant case and competent to affirm this affidavit.
2. That the deponent has already filed his affidavit dated 06.03.2020 before the Hon'ble Tribunal pointed out certain observations based on the documents filed by the petitioner companies. The petitioner companies have filed their replies through affidavit dated 12.03.2020 & affidavit dated 19.03.2020 before the Hon'ble Tribunal which have been forwarded to the office of the deponent through letter dated 09.03.2020 and 12.10.2020 clarifying their stand with documentary support.
    a) The replies of the petitioner companies supported with documents as submitted have been examined by the office of the deponent and on the basis of clarifications given by the petitioner companies and documents attached therewith the deponent is of the view that clarification given by the petitioner companies appears to be in order. Copies of affidavits/clarifications already submitted by the petitioner companies before the Hon'ble Tribunal are not being attached herewith for the sake of brevity.
    b) That it is submitted that on examination of the proposed scheme of amalgamation, the Central Government has decided that the instant petition/scheme need not be opposed.
3. The statement made in paragraph 1 is true to the best of my knowledge and those made in paragraph 2 is information derived from the records of the case. These are my humble submissions before this Hon'ble National Company Tribunal, Guwahati Bench for kind consideration and

disposal of the case as deem fit and proper in the facts and circumstances of the case."

14. The Official Liquidator's observations in its representation in respect of the present company petition described as under:

Paragraph	OL's observation
3	That, as per clause 12(i) of the Scheme, all the staff, workmen and other employees of the Transferor Companies in service on date immediately preceding the date on which the scheme finally take effect shall become the employees of the Transferee Company without any break or interruption in their service.
4	That, as per clause 6 of the scheme issue of new equity share by the Transferee Company shall be as follows: " 1 equity shares of Rs 10/- each fully paid up of the Transferee Company for every 1 equity share of Rs 10/- each fully paid up in the Transferor Company".
5	That the appointed/transfer date of the scheme is the 1st date of April, 2019
13	That as per clause 10 of the Scheme the Authorized Share Capital of the Transferor Companies shall be added to the Authorized Share Capital of the Transferee Company.
14	That the Official Liquidator has not received any complaint against the proposed scheme of Amalgamation from any person/party interested in the

	Scheme in any manner till the date of filing of this Report.
15	That the report of the Official Liquidator is based upon the documents/reply submitted by the petitioner companies. Balance Sheet, Memorandum and Article of Association and other documents furnished by the petitioner companies has not been enclosed with the report as the same are already on record of the Hon'ble National Company Law Tribunal.
16	That the Official Liquidator on the basis of information submitted by the Petitioner Companies is of the view that the affairs of the aforesaid Transferor Company do not appear to have been conducted in a manner prejudicial to the interest of its members or to public interest as per the provisions of the Companies Act,1956/ Companies Act, 2013 whichever is applicable
17	That in view of the submission made above the Hon'ble National Company Law Tribunal may like to pass such order/s as deem fit and proper in the circumstances and facts of the case.

15. Both the Directors of Shenglong Mobile Services Private Limited and Rongsheng Mobile India Private Limited on 24/11/2020 have filed an affidavit in relation to the application before this Hon'ble Company Law Tribunal, Guwahati Bench seeking change in the Appointed Date in the draft Scheme of Amalgamation. The Board discussed the matter and it was,

"RESOLVED THAT the subject to the approval of the National Company Law Tribunal, Guwahati Bench, sanction be and is hereby accorded for changing the appointed date in the draft Scheme of Amalgamation Shenglong Mobile

Services Private Limited with Rongseng Mobile India Private Limited from 1st April, 2019 to 1st April, 2020 in accordance with the definition of Appointed Date as specified in Clause 1 of the Draft Scheme"

"RESOLVED FURTHER THAT Board of Directors of the Company be and are hereby authorized to file a copy of this resolution before the Hon'ble National Company Law Tribunal, Guwahati bench and to do all such acts, deeds and things as may be required or considered necessary or incidental thereto."

16. The Income Tax Department vide letter dated 14th January, 2020 submits that their office has no objection for the scheme of amalgamation. And vide letter dated 12th March, 2020 again affirms that their office has no objection in the scheme of Amalgamation under Section 230-232 of the Companies Act, 2013 of the said companies.

17. Thus, we perused the above and examined the merits of the representation/observation(s) made by the Regional Director, Official Liquidator and the Income Tax Department which have been dealt with by the Petitioner Companies by filling its clarification/reply affidavit.

18. In the light of the above stated reply and affidavit given, we feel that the representation/observation(s) made by the Regional Director, Official Liquidator and the Income Tax Department are properly answered and , thus stands satisfied.

19. In the light of the above given facts and circumstances of the present company scheme petition, we perused the salient features, rationale and object of the proposed company scheme of amalgamation, which has been annexed and form part of the present company petition. We duly considered the same in the light of well settled legal position that the Tribunal may examine the reasonableness of the Scheme. It should be fair and equitable.

20. By considering the entire facts and circumstances of the present company Scheme, we find that all statutory requirements of the provisions of Sections 230-232 of the Act are satisfied. The present company scheme appears to be genuine and bonafide and it appears to be in the interest of its shareholders and creditors.

21. Hence, the present company scheme petition deserves to be allowed. It is allowed in terms of its prayer/relief clause. Consequently, the proposed company scheme of Amalgamation of **Shenglong Mobile Services Pvt. Ltd** and **Rongsheng**

Mobile India Private Limited is hereby allowed with following terms and conditions.

i. While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law.

ii. As per the board resolution dated 28th October, 2020 and 30th October, 2020 passed by the Companies followed by the affidavits filed by the director's and confirmation of the counsel of the petitioner companies during the hearing that there is no material change in the company during the period from 1st April, 2019 to 31st March, 2020. The appointed date is changed from 1st April, 2019 to 1st April, 2020 as prayed for.

iii. The whole of the property, rights and powers of Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Companies Act, 2013, be transferred to and vest in the Transferee Company for all the state and interest of the Transferor Company therein but subject nevertheless to all charges now affecting the same; and

iv. All liabilities including taxes and charges, if any and duties of the Transferor Company be transferred without further act or deed to the Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act,2013, be transferred to and become the liabilities and duties of the Transferee Company without in any way obstructing compliance of depositing outstanding tax dues if any; and

v. All proceedings now pending by or against the Transferor Company, if any, be continued by or against the Transferee Company: and

vi. All employees of the Transferor Company will become employees of the Petitioner/Transferee Company without any break or interruption of service;

22. The legal fees and expenses of the office of the Official Liquidator are quantified at Rs 10,000/- in respect of the Petitioner Transferor Company. The said fees to the Official Liquidator shall be paid by the Transferee Company within four weeks from the date of issuance of certified copy of the Order by the Tribunal.

23. The legal fees and expenses of the office of the Regional Director are quantified at Rs 20,000/- in respect of the Petitioner Companies. The said fees to the Regional

Director shall be paid by the Transferee Company within four weeks from the date of issuance of certified copy of the Order by the Tribunal.

24. Filing and issuance of drawn up orders are dispensed with. All concerned authorities to act on a copy of this order along with the Scheme of Amalgamation duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the certified copy of this order along with the Scheme of Amalgamation immediately.

25. The petitioner companies are further directed to lodge a copy of this order, the schedule of immovable assets of the Transferor Company as on the date of this order and the Scheme duly authenticated by the registrar of Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, on the same within 60 days from the date of the order.

26. The Petitioner Companies are further directed to file a copy of this order along with the copy of the Scheme of Amalgamation with the concerned Registrar of Companies, electronically, along with the Form INC-28 within 30 days from the date of issuance of the certified copy of the Order by the Tribunal in addition to physical copy as per relevant provisions of the Companies Act, 2013.

27. With the aforesaid directions, the present joint Company Petition is allowed and accordingly stands disposed of.

-Sd-

(PRASANTA KUMAR MOHANTY)

MEMBER (T)

-Sd-

(HARI VENKATA SUBBA RAO)

MEMBER (J)